

22.5 GROWTH OF EMPLOYMENT

The available information relating to the growth of employment in India during the last three decades is comprehensively summarised in Table 22.4 and 22.5 below:

Table 22.4: Average Annual Rate of Growth of Employment

Year	Growth Rate
1983-1994	2.06
1994-2000	0.98
2000-2005	2.95
2004/05-2009-10	0.95

Source: Based on respective rounds of employment and unemployment survey reports

Table 22.5: Addition to Working Age Population (15 years and above) and its Distribution

Period	Addition to WAP (mn)	Additions to LF, WF and EF as Percentages to Additions in WAP			
		LF	WF	EF	Out of WF and EF
Men & Women					
1983-94	140.68	58.2	56.9	13.0	30.1
1994-2005	152.05	60.2	57.9	12.4	29.7
2005-12	137.63	14.5	14.7	30.3	55.0
2012-18	128.34	10.3	-4.8	22.1	82.7
Only Men					
1983-94	72.82	80.8	79.4	15.2	5.4
1994-2005	78.65	77.7	75.7	12.2	12.1
2005-12	65.66	56.3	55.7	35.5	8.8
2012-18	64.97	48.8	24.1	23.0	52.9
Only Women					
1983-94	67.85	34.0	32.8	10.6	56.6
1994-2005	73.40	41.4	38.8	12.6	48.6
2005-12	71.96	-23.7	-22.7	25.7	97.0
2012-18	63.36	-29.1	-34.4	21.2	113.2

WAP = working age population, LF = labour force, WF= workforce, EF= educational force

Source: Article From Jobless to Job-loss Growth Gainers and Losers during 2012-18 published in EPW, Vol. 4, No. 44, November, 9 2019.

- 1) The ability of Indian economy to absorb the incremental working age population into workforce has been declining since 2004-05. The period

between 2012 and 2018 has shown a negative trend. During this period, existing workers equivalent to close to 5 per cent of the incremental working age population lost their jobs. During two decades (i.e., 1983-84 - 2004-05) 57 per cent to 58 per cent of those coming to working age population were absorbed into the workforce. This proportion fell close to 15 per cent during the next seven year period (2004-05 – 2001-12) and during the period (2011-12 – 2017-18) it turned out negative.

- 2) During the first two decades (1983-2005) only 12 per cent to 13 per cent of the addition to the working age population (15 years and above) found themselves in educational force. This proportion increased to 30 per cent by 2012. However, during last 6 years' period (2012-18) this share came down to 22 per cent. Putting together those in workforce and those in education, we find that 70 per cent of the incremental working age population during 1983-94 as well as 2004-05 but this decreased to 45 per cent during 2005-12 and then 17 per cent during 2012-18. This shows that ability of the economy to absorb addition to the working age population either in employment or in education has practically declined since 2005 but more sharply since 2011-12. This also indicates that potential demographic dividend by way of an increasing share of working age population in the total population has not been translated into actual demographic dividend (Kamnan and Ravindran, 2019).
- 3) During 2005 to 2012 and 2012-2018, there has been a net loss of women's labour force as well as workforce. The process appears to have accelerated during the latter period as compared to the former one.
- 4) Despite a higher share of young women from additional working age population taking to education, the share of those outside the workforce and educational workforce has been increasing so alarmingly that it has now reached 113 per cent of the addition to their working age population.
- 5) Those with higher education have gained in employment significantly among all social groups. Women from the ST group are the biggest gainer followed by both men and women from the SC group.
- 6) There has been a sharp decline in the growth rate of employment (UPSS) from 2.06 per cent per year in the period 1983 to 1993-94 to only 0.98 per cent in the period 1993-94 to 1999-2000. Although this deceleration in employment is accompanied by an equally sharp decline in the rate of growth of labour force from 2.29 per cent in the period 1987-88 to 1993-94 to only 1.03 per cent in the period 1993-94 to 1999-2000, yet the growth rate of employment has been less than the growth rate of the labour force. This indicates an increase in the unemployment rate.
- 7) Employment growth during 1999-2000 to 2004-05 has accelerated significantly as compared to the growth witnessed during 1994-2000. During 1990-2000 about 47 million work (CDS basis) opportunities were created compared to only 24 million in the period between 1993-94 and 1999-00. Employment growth accelerated from 0.98 per cent per annum to 2.95 per cent per annum. However, since the labour force grew

at a faster rate of 2.84 per cent than the workforce, unemployment rate also rose. The incidence of unemployment on CDS basis increased from 7.31 per cent in 1999-00 to 8.28 per cent in 2004-05.

- 8) The employment growth during 2004-05 to 2009-10 was significantly lower than during 1999-00 to 2004-05. The pattern of employment growth reveals absolute decline in rural female's employment. In this period, both in rural and urban areas slowdown in employment growth for male has occurred. The sharp absolute decline for rural females and slight absolute increase for urban females is observed.
- 9) There have been significant changes in the sectoral pattern of employment. The proportion of the work force engaged in the primary sector declined by 12 per cent between 1983 and 2004-05 and it showed faster decline between 2004-05 and 2009-10. Between 2009-10 and 2017-18, the share of employment in primary sector further declined to 44.6 per cent. Similarly, in the Secondary sector also, the share of employment increased from 21 per cent in 2009-10 to 24.4 per cent in 2017-18. However, the Tertiary sector has performed very well in employment as its share jumped from 25 per cent (2009-10) to 31.0 per cent (2017-18). This marks an important phase of structural transformation for the Indian economy, in which, the share and number of workers in agriculture has been declining with corresponding rise in employment in non-farm sectors. Among the non-firm sectors, service sector is primarily driving the employment growth during 2009-10 and 2017-18.

**Table 22.6: Changes in Sectoral Shares of Employment (UPSS)
(Percentages)**

		Primary	Secondary	Tertiary	All
Rural	1983	81.80	8.60	9.50	100.00
	2004-05	73.00	13.20	13.80	100.00
	2009-10	68.60	16.70	14.70	100.00
Urban	1983	15.60	32.60	51.80	100.00
	2004-05	9.40	33.30	57.30	100.00
	2009-10	8.10	33.80	58.10	100.00
Total	1983	68.90	13.30	17.80	100.00
	2004-05	57.00	18.20	24.80	100.00
	2009-10	53.80	20.90	25.39	100.00
	2017-18	44.6	24.4	31.0	100.00

Check Your Progress 2

- 1) What are the implications of decline in women LFPR?

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- 2) Do you think that higher growth necessarily helps in expanding employment growth?

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- 3) State the various dimensions of deterioration in the quality of employment in India.

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- 4) Give an account of changing sectoral shares of employment in the Indian economy.

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22.6 QUALITY OF EMPLOYMENT

Broadly, quality of employment can be judged on the following basis:

- Proportion of workers in organised and unorganised sectors
- Proportion of workers engaged in regular and casual labour

22.6.1 Proportion of Workers in Organised and Unorganised Sectors

Increasing share of employment in unorganised sector reflect deterioration in the quality of employment because workers' earnings, regularity of employment, work environment and social security vastly differ between organised and unorganised sectors. Workers in organised sector have better wages and salaries, job security, reasonably decent working conditions and social protection against risks such as sickness, injuries, disability and death arising out of hazards, accident at works, separations and old age. Those in the unorganised sector apart from insecurity of job generally have no protection against these risks, have low earning, often lower than the modest statutory minimum wages and have no regularity. An increase in the share of

unorganised employment obviously means an overall deterioration in the quality of employment.

An important aspect related to quality of employment is the large size of unorganised sector as against organised sector in the total employment. The size of the organised sector characterised by higher earnings and job security has declined from 17 per cent in 2011-12 to 13.2 per cent on 2017-18. Corresponding share of workers in unorganised sector increased from 83 per cent in 2011-12 to 87 per cent in 2017-18. There are 92.4 per cent informal workers (with no written contract, paid leave and other benefits) in the economy. There are also 9.8 per cent informal workers in the organised sectors indicating the level of outsourcing. These are possibly the contract workers.

Even the organised sector is increasingly moving towards informal employment. The entire employment in the unorganised sector is informal as is clear from the following table.

Table 22.7: Distribution of workers by types of employment and sector

Worker	2011-12			2017-18		
	Unorganised	Organised	Total	Unorganised	Organised	Total
Informal	82.6	9.8	92.4	85.5	5.2	90.7
Formal	0.4	7.2	7.6	1.3	7.9	9.3
Total	83.0	17.0	100.0	86.8	13.2	100.0

Source: Computed from NSS 68th unit level data on employment unemployment, 2011-12 and Periodic Labour Force Survey, 2017-18

It is significant to note that the informality is generally linked to economic activity with low productivity and low-income generating prospectus. Given the heterogeneity of informal employment, there is a need to formulate specific policy sets to find solution to informality traps.

Further it is relevant to mention that quality of life and formal employment are positively correlated with each other. The countries with very high HDI are having more than 80 per cent of their workers in formal employment. Most of the countries, with high HDI, are also having 60 to 80 per cent of their workers in formal employment. This proportion ranges between 40 to 60 per cent in most of the medium HDI countries. Compared to it, less than 20 per cent of the workers are in formal employment in almost all the countries with low HDI. Thus, social security and quality of life are closely related with each other, higher the social security coverage higher is the quality of life, as reflected by HDI.

22.6.2 Proportion of Workers Engaged in Regular and Casual Labour

Another dimension of deterioration in the quality of employment can be examined in terms of low earning, irregularity and uncertainty of work availability, poor condition of work and lack of social protection and

vulnerability to the risks and hazards. This in turn is seen in the increase in the casualisation of the work force.

The Indian employment market is moving from regular towards casual employment. From 1983 to 2017-18, people have moved from self-employment to regular salaried employment and casual employment. The proportion of casual workers in total workers increased from 24.03 per cent in 1983 to 25 per cent in 2017-18, while the proportion of self-employed declined from 58.84 per cent to 52.2 per cent and the proportion of regular salaried employees increased from 17.14 per cent to 22.8 per cent during the same period.

Casualisation of employment does not assure adequate days of employment and income to meet the basic necessities of labour households. This along with low wage rates adversely affects growth rate of average daily wage earnings of the casual labour depriving them of fulfilling the basic needs.

Table 22.8: Distribution of Workers by Category of Employment

Year	Nature of Employment		
	Self employed	Regular/Salaries	Casual
1983	58.84	17.14	24.03
1993-94	57.31	16.35	26.34
1999-2000	55.19	17.52	27.29
2011-12	52.00	18.00	30.00
2017-18	52.20	22.80	25.00

Source: 1) Different Quinquennial survey reports of NSSO till 2011-12

2) Periodic Labour Force Survey (PLFS): Annual Report (July 2018-June 2019).

22.7 EMPLOYMENT POLICY FRAMEWORK

India's growth strategy adopted during the planning period has played a significant role in impacting the employment situation in the country. For instance, the Second Five Year Plan (1955-6 to 1959-60) involved adopting an import-substituting industrialisation strategy, with a focus on heavy-industry. This could not be, by definition, a strategy for rapid absorption of surplus labour in agriculture. The result was as surplus workers migrated away from agriculture in search of non-agricultural work, they were inevitably absorbed in traditional services in both rural and urban areas. If not, they were absorbed in unorganised manufacturing in micro-enterprises employing less than 10 workers, where no social insurance was available. In addition to this, government reserved manufacture of consumer products of a non-durable nature for the small-scale sector, which began with a few products and reached 836 in 1990. Since medium-sized firms or large corporates were disallowed from entering this sector, the small enterprises had no incentive to grow and absorb more workers in their manufacturing units, thus exacerbating a problem resulting from the heavy industry first strategy.

The employment situation is also impacted by the plethora of central and state government labour laws. On the one hand, hardly any labour laws were applicable to the small enterprises. On the other hand, the larger enterprises, whether medium or large, became gradually subject to a number of laws passed by state or central governments, which protected the workers in the organised sector. While social insurance (in the form of employee provident fund and health insurance) was mandatory, the growing number of laws covering organised workers meant that employers tended to adopt technologies that often limited the number of workers. The number of central government laws related to labour alone amounted to 45 (in 2014, though after repeal of some the number fell to 35 by 2018), which are often inconsistent with each other, and tend to grow in their coverage as the size of enterprises increases. On top of these 35, there are state-specific labour laws that organised segment firms in industry or services have to comply with. The reaction of employers was inevitable: the fewer the workers, the better it is from their perspective. Organised sector jobs grew slowly, and most non-agricultural employment continued to grow in the always unorganised sector in micro-enterprises, with workers employed without any hope of social insurance.

Consequently, in the earlier plan documents, calculations were made as to how much additional employment was needed to absorb the unemployed and under-employed and the growth in the labour force. In the draft of the Fourth Year Plan 1969-1974 (Govt. of India, 1969), the employment issue just occupied 3 pages in a Fourth Year Plan document of 350. However, it was clear that even rapid growth of the small modern sector could not create enough jobs for a large and growing population. Without large scale creation of employment, the benefits of economic growth would not reach the population as a whole.

Suggestion of *Dandekar* and *Rath* in 1971 that high rates of poverty in India need to be addressed through a massive programme of public works which would create employment and public assets, essentially in rural areas, gave rise to the Maharashtra Employment Guarantee Programmes in 1970 and later on a much larger scale to NREGA in 2005. Since that time the need to address the employment deficit has been constantly present in economic analysis in India. During 1970s and 1980s, a variety of special programmes to promote employment were introduced. These include Indira Gandhi's 20-point programme— Integrated Development Programme (IRDP), which was applied across the country in 1980s. Due to rise in demand for labour on account of spread of the green revolution, efforts were made by the Planning Commission to reinforce employment intensive agriculture through strategic investment. However, the main focus was on growth and not on employment. Raj Krishna, a renowned economist argued that 6.5 per cent growth rate would be enough to absorb the backlog of unemployment and similar arguments were put forwarded to support the economic reforms of early 1990s.

Economic acceleration of the 1990s failed to deliver the expected increase in employment and jobless growth became the common talking point. Overall

job creation was slow after the economic reforms except during a short period between 1999 and 2004. This trend continues right upto the present, since the most recent data show negative employment elasticity for the economy as a whole in the period from 2011-2012 to 2017-2018 and for several key sectors including agriculture and manufacturing.

In view of the above, employment continues to be high on the policy agenda reflected from labour law reforms and the various policy initiatives by the Government like Skill India, Start Up India, reorientation policies for MSMEs growth, Pradhanmantri Kaushal Yojna for skill formation, Mudra Yojana, Pradhan Mantri Rojgar Protsahan Yojana (PMRPY), SAMADHAN (Software Application for Monitoring and Disposal, Handling of Apprehended/Existing Industrial Dispute), Shram Suvidha Portal to bring transparency and accountability in enforcement of labour laws and ease of compliance, Pradhan Mantri Shram Yogi Maandhan Yojana (PM-SYM) for old age protection and social security of unorganised workers and so on.

Besides, the Ministry of Labour and Employment, one of the oldest and important Ministries of the Government of India, is functioning to ensure improving life and dignity of labour force of the country by protecting and safeguarding the interest of workers, promotion of their welfare and providing social security to the labour force both in Organised and Unorganised Sector by enactment and implementation of various Labour Laws, which regulate the terms and conditions of service and employment of workers. The State Governments are also competent to enact legislation, as labour is a subject in the Concurrent List under the Constitution of India.

22.7.1 Report to the People on Employment

The annual reports provide a framework to understand the contemporary employment scenario. They focus on key issues of generation of quality employment for the people seeking work. The issue of providing decent work, particularly to those who are excluded and marginalised in the labour market is a central concern of these reports. The reports highlight that employment growth along with equity and distributive justice can be a powerful instrument for achieving faster, inclusive and sustainable growth.

Report to the People on Employment (2010)

The 2010 report views employment as a primary means through which citizenship is made real for the people, the way in which the people acquire a stake in society, overcome the insecurities of old age and ill health and ensure a better future for children. One of the central ideas of the report is— high economic growth and growth of quality employment reinforce each other. Recognising low level of earnings and poor working conditions of casual labourers and a part of self-employed workers, the report argues for increasing the share of organised sector employment in total employment of the country, particularly in the manufacturing and service sectors.

The report firmly puts on the agenda to best utilise the ‘demographic dividend’ by focusing on generating gainful employment for youth, in

general, and young women, in particular. The report notes that given very low proportion of skilled workers at present, a suitable and workable framework to enhance the employability of workers is essential. The same can be achieved by providing training to workers at various levels with emphasis on recognising local skills and certifying informally acquired skills along with the expansion of skill development institutions. The report also argues for rationalisation of labour laws and broadening the ambit of labour reforms for achieving equitable employment growth. It sets out short-term and medium-term strategies to ensure gainful employment opportunities for all the working people with particular emphasis on the disadvantaged sections.

Report to the People on Employment (2011)

The report notes that the unemployment rate in India has declined during the period 2004-05 to 2009-10. There has been a positive change in the quality of employment during the period 2004-05 to 2009-10 as most of the employment growth has been contributed by growth in principal status workers. There also has been an increase in proportion of regular wage workers in the total workforce. Analysis of the sectoral distribution of workers shows a declining trend in case of the primary sector, nearly stagnant in manufacturing sector and an increase in the share of service sector.

The report highlights the vital role that the service sector can play in generating productive employment in future. The report, however, notes the dualistic nature of service sector employment with high income and better-quality jobs limited to a small section of the workforce while the vast majority remains trapped in low-wage income and relatively insecure occupations. Hence, the report stresses the vital role of skill upgradation and targeted social security provisions to reduce this dualism.

The report analyses the structural inequality in the labour market and access to quality employment. One of the key inequalities is the high concentration of socially disadvantaged groups (SC, ST and OBC) among casual workers. Access to quality employment being highly correlated with educational status and skill endowment, socially disadvantaged groups with high rates of illiteracy and lack of industry relevant skills face greater barriers to access productive employment.

Key medium-term strategies and targets include: Focus on self-employed and casual workers for improving livelihood; Enhance the scope of employment in the organised sector; Enhance regular employment for less advantaged groups and in poorer states; Comprehensive coverage of unorganised sector workers under social security schemes; Rationalisation and simplification of labour regulations and broadening the ambit of labour reforms, Promote diversification of rural workforce to off-farm and non-farm activities; Target regions with concentration of vulnerable social groups such as ST, SC, minorities, women, illiterate and less skilled for active labour market policies; Detailed skill mapping mechanism to be evolved, Credible and independent accreditation and certification process to be created; Upgradation of all training providing institutions and strengthening delivery

through public private partnership (PPP) mode; Creating large number of skill development institutions and pool of trainers to expand the outreach of skill development initiative; Setting up of Sector Skills Council; Development of National Vocational Qualification Framework; and Creating a credible Labour Market Information System.

22.7.2 Issues of Concern

There are several issues of concern which need to be addressed:

- 1) Until recently the overall unemployment rate remained fairly low and showed no long-term trend. The quality of employment in terms of higher daily unemployment rate among casual workers and higher level of unemployment among educated youth, especially among young women was the major problem. The lack of productive, regular jobs has emerged as deterioration in the quality of employment. There has been a substantial increase in real wages and incomes in the informal activities since 1980s indicating rise in productivity with persistence of dualism.

However, for 2017-18 Periodic Labour Force Survey shows a sharp rise in open unemployment reflecting slow employment creation since 2012. This high unemployment appears to be associated with deficiencies in both the level and the pattern of demand in the economy.

- 2) Employment is not homogenous. There is a whole spectrum of jobs of different types some much more productive or desirable than others. There is a need of high productivity jobs in modern economic sectors. The policy of promotion of entrepreneurship through *Mudra Yojana* and focus on MSMEs need to be strengthened. In other words, employment problem is a problem of composition of employment at overall level.
- 3) Employment deficits are not easy to measure, even conceptually. The classical definition of open unemployment captures only apart of the problem. Whether our concept of employment is well adapted to analysis of today's economy? Whether it captures gender differences, primary and secondary activities, desirable and undesirable work or new types of employment in the economy. For having clear understanding of these issues, broader notion of work is needed (Gerry Rodgers, 2020).
- 4) Even within the narrow concept, employment creation is the result of complex economic and social process and overall employment elasticities are inadequate to reveal these processes of employment generation. A negative employment elasticity means little at its own (Gerry Rodgers, 2020).
- 5) A new strategy focussing change in economic policy framework from a supply side one to a demand side one is required. This would call for a focus on the rural economy, strengthening the productive capacity of small enterprises in both rural and urban areas and strengthening the education, health and related sectors especially in the rural economy. The various schemes launched under the programme *Atama Nirbhar Bharat* appears to be right initiative in this direction.

It is, therefore, imperative that the growth strategy gets appropriately tuned to the third policy option i.e., altering the pace and composition of industrial growth and create greater space for agriculture not only as a traditional reservoir of labour for industrialisation, but also as a sector with greater flexibility to absorb labour and generate broad based or extensive growth (Bhaduri, 2006; p.85). This of course, is not the same as ‘agriculture first’ strategy advocated earlier by a number of scholars (Johnston and Maler, 1961; Maler, 1976). Here, the emphasis is not on sectoral priority. The idea is ‘to combine the advantages of industrialisation and inclusive growth with extensive growth in agriculture achieved through better labour absorption and a higher participation ratio’ (Bhaduri, 2006; p.85). The central thrust here is that ‘besides the issue of sectoral balance in any developmental strategy, the scope for increasing labour productivity through reorganising agriculture, as different from shifting a part of the labour to other sectors, should be thoroughly assessed and explored. This substantiated by and a renewed recognition of the potential for surplus labour absorption and increase in labour productivity in agriculture and rural sector, quite apart from the strategy for inter-sectoral shift of workforce (Bhaduri, 2006; p.84). The Green Growth perspective may further enhance the potential of the primary sector to absorb productive labour by reversing the process of factor substitution that was mentioned above.

It is, therefore, argued that a balanced approach such as this may open up a number of avenues for reorganising production and consumption, essentially by harping on the demand side dynamics that leads to significant increase in effective demand in the domestic market. It is at this juncture, one may find a substantial space for convergence between the perspectives on employment, environment and social dimensions as suggested by the sustainable development framework (Shah, 2011).

Check Your Progress 3

- 1) Discuss different policy measures undertaken by the government to deal with the issue of unemployment in the Indian economy.

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- 2) Which measures would you like to suggest to generate employment opportunities for those already unemployed?

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